

Target: N/A

Holding Period: N/A

Educational Report

I (Tushar Hamirani) initiating a research report on **ETERNAL LTD**, primarily engaged in the Four business segments at present — Food delivery (Zomato), Quick commerce (Blinkit), B2b Supplies (Hyperpure) and going-out experience (District app). **This report is intended for educational purpose and should not be considered as an investment recommendation**



About the Business

Zomato Ltd (rebranded as Eternal Ltd) is one of India leading online food service platforms. A company mainly operate four business segment. Food delivery, Quick commerce, B2b Supplies and going-out experience.

Incorporated in 2010 and listed on NSE/BSE in 2021. Zomato operate across 23 countries with 1.31 lakh active food delivery restaurant, 1.62lakh delivery partners, on an average 10.7 million monthly food order of customer and 12.1 million gold member.

Company Snapshot

Mkt Cap	₹ 2,43,333.60
High / Low	₹368/213
Div Yield	0.00%
P/E	664.85x
ROCE	-1.09%
ROE	1.18%

Financial Snapshot

	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Revenue	4192.4	7079	12114	20243	54364
EBIT	-2001.1	-1648	-483	-215	-389
PBT	-1220.5	-1015	291	697	615
TAX	2	-44	-60	170	249
NET PROFIT	-1222.5	-971	351	527	366
NPM	-29.16%	-13.72%	2.90%	2.60%	0.67%

Shareholding Pattern

Promoters	0%
FII's	33%
DIIS	36%
Public	27%
Other's	5%
Government	0%

Key Points about the company

- Zomato Food Delivery (B2C) Zomato is a B2C food delivery platform operating across 800+ cities in India, connecting millions of customers with restaurants through its technology platform.
- Blinkit (Quick Commerce) Blinkit is a quick commerce platform delivering groceries, electronics & more in under 15 minutes, with 1,301 stores across 100+ cities and a target of ~2,000 stores by Dec-25.
- Hyperpure (B2B) Hyperpure is Zomato's B2B supply chain arm that sources directly from FPOs and serves 1,00,000+ outlets through 11 warehouses across 8
- Hyperpure's growth was driven by serving more restaurant outlets with better price realization and a surge in non-restaurant demand from the quick commerce
- Leadership Change Deepinder Goyal resigned as MD & CEO effective 1st Feb 2026, with Albinder Singh Dhindsa appointed as the new CEO & KMP of the company.
- Nov 2024, the company approved a QIP of 33.6 Cr equity shares for Rs. 252.62 each, for Rs. 8,500 Cr
- The company expects an adjusted EBITDA margin of 4-5% over the medium term in its food delivery, Quick Commerce & Going-out businesses.

Research Analyst

Tushar Hamirani

Financial Ratio

ROE	1.18%
ROCE	-1.09%
ROA	0.90%
NPM	0.67%
GPM	44.51%
Div Yield	0.00%
EBIT Margin	-0.72%

Business Segment Performance YOY

Food delivery (Zomato)

- Food Delivery (Zomato) delivered steady growth of 15.6%, with NOV expanding to INR 37,993 Cr from INR 32,862 Cr. Food Delivery (Zomato)'s contribution to B2C NOV declined from 53.1% in FY25 to 39.6% in FY26
- Company remain confident in 20%+ annual growth driven by India's rising urbanization, income, and low food-service penetration.
- In FY25, restaurant partners grew 15% (to 344k) and delivery partners rose 21% (to 576k), reflecting steady market expansion.
- FY26 Adjusted Revenue grew 24% to INR 11,698 crore (from INR 9,418 crore in FY25), driven by higher ad monetization and increased platform fees.
- Food Delivery Adjusted Revenue of INR 11,698 Cr on NOV of INR 37,993 Cr implies an overall take rate of 30.8% approx as compare to FY 25 27.83%
- FY25 Adjusted EBITDA grew to INR 2017 (34%) from INR 1,505 crore crore YoY, driven by cost efficiencies and higher revenue per order.



Quick Commerce (Blinkit)

- Quick Commerce NOV Grew 117% YOY to INR 48568 compare to FY25 22371. Blinkit overtook Zomato Food Delivery in FY26 — its share jumped from 36.2% → 50.6%, driven by rapid dark store expansion — scaling from 1,301 stores at the end of Q4 FY25 to 2,243 stores by end of Q4 FY26 — and aggressive customer acquisition strategies.
- FY25 Revenue surged 625 % to INR 37,779 crore Compare to FY25 5,206 and INR 37,779cr in FY26 on NOV of INR 48,568cr implies on overall take rate of 77.8% compared to 23.3% in FY25 outstripping NOV growth due to higher commissions and improved ad monetization.
- Adjusted EBITDA margin improved to -0.7% (FY26 -272) from -1.3% (FY24-292), remaining negative due to aggressive investments in store expansion, customer acquisition, and high competitive intensity.



Going Out (District)

- Going out NOV Grew 42% YOY INR 9399 from INR 6619 FY25. Going-out contributed 9.8% to B2C NOV in FY26, broadly stable vs 10.7% in FY25.
- Adjusted Revenue grew a healthy 32%, from INR 737 Cr to INR 973 Cr, reflecting improving monetisation of the platform.
- Going-out reported a take rate of 10.4% in FY26 Adjusted Revenue of INR 973 Cr on NOV of INR 9,399 Cr Due to segment continues to scale.
- EBITDA losses deepened significantly from -38 Cr to -319 Cr — primarily due to continued investments in category creation, including new live IPs in the events business, and expansion into movies & events ticketing after acquiring Paytm Insider.



B2B Supplies (Hyperpure)

- Hyperpure's revenue declined 13.4% YoY from INR 6,196 Cr to INR 5,366 Cr, primarily due to Blinkit's shift to an inventory-led model which eliminated the non-restaurant B2B business
- Adjusted EBITDA losses narrowed significantly from INR -84 Cr to INR -17 Cr, re unit economics.



Brands Owned by Eternal LTD



Management's Voice

- Management said it remains on track to reach 3,000 stores by March, while longer-term growth will come from assortment expansion, geographic expansion, and deeper penetration in existing cities.
- Blinkit said it is on track to reach 3,000 stores by March, but it would not give a specific store-count guide beyond that. Management said growth will not map neatly to store additions because some markets are still in build-out mode while others need different supply formats to expand assortment.
- Management is confident in reaching 5–6% margins (Quick commerce) through consistent execution — no major strategic shift needed, just staying the course.
- The Management said it prefers to reinvest incremental margin into growth if it can earn a good return.
- About Bistro business it is small experiment it has no plan to expand into travel through district
 - On capex, it said automation will continue to rise over time, but only where the returns are visible and the ROCE case is clear.
- The Management said MTU growth remains strong because it is still spending on marketing for new customer acquisition. Management added that rivals have pulled back, which has lowered customer acquisition costs and made it worthwhile to keep marketing spend high for now.



Key Risk

- This is a very tough, highly competitive market with many big players like Swiggy, Zepto, and Amazon. Because they all have plenty of money, advanced technology, and strong delivery networks, it is very hard to compete against them.
- It is quite difficult for new companies to enter this market. Success requires not only a strong network of dark stores and delivery systems but also long-term efforts to build good relationships with vendors and gain the trust of customers.
- Customers can easily switch between platforms because they are motivated by discounts, loyalty programs, and fast delivery, which gives them significant bargaining power. Additionally, competition from local vendors and modern retail stores like DMart puts further pressure on these companies.



Valuation

Intrinsic Valuation

WACC Assumption

WACC	12%
Risk Free Rate (RF)	7%
Beta (3Yr)	0.94
Market Premium	6%
Cost of Equity	13%
Cost Of Debt (Post Equity)	5%
Equity Weight	87%
Debt Weight	13%

Growth Assumption

FY27-29	60%
FY30-31	40%
FY32-36	20%
Terminal Gi	6%

Valuation Build-up

DCF OF Cash Flow	27007
Discounted TV	73988
Total Firm Value	100995
(+) Cash & Investment	16356
(-) Debt	4592
Equity Value	112759
Share Outstanding	965
Per Share value	117



Key Assumption

Growth rate based on management guidance of 60% CAGR (FY27–29), tapering to industry CAGR of 40% (FY30–31) and stable phase of 20% (FY32–36). Terminal growth rate of 6% reflects India's long-term GDP outlook. DCF suggests stock is overvalued at current price — FY29 target achievement will be the key re-rating catalyst.

Relative Valuation

	FY26
P/E	664.85x
P/S	4.48x
P/B	7.85x
EV/EBITDA	191.70x
EV/SALES	4.53x

Eternal trades at significant premium across all valuation metrics — P/E of 664x and EV/EBITDA of 191x reflect market's confidence in FY29 profitability targets rather than current earnings, while P/S of 4.48x and EV/Sales of 4.53x are partly inflated due to Blinkit's shift to inventory-led revenue recognition model

Detailed Ratio Analysis

Financial Ratio	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Liquidity Ratio					
Current Ratio	2.36x	0.95x	0.74x	1.76x	1.06x
Quick Ratio	2.31x	0.90x	0.70x	1.70x	0.64x
Cash Ratio	2.10x	0.62x	0.33x	1.11x	0.29x
Solvency Ratio					
Debt to Equity	0.004	0.026	0.037	0.067	0.148
Debt to Capital	0.004	0.025	0.035	0.063	0.129
Financial Leverage	1.05x	1.11x	1.14x	1.18x	1.31x
Debt to EBITDA	-0.035	-0.308	-1.551	-9.512	-11.805
Interest Coverage	-166.76x	-33.63x	-6.71x	-1.40x	-0.99x
Debt to Asset	0.004	0.023	0.032	0.057	0.113
Efficiency Ratio					
Inventory Turnover	105.60x	85.29x	137.66x	115.02x	24.93x
Fixed asset Turnover	2.99x	1.12x	1.88x	2.12x	4.29x
Total asset Turnover	0.24x	0.33x	0.52x	0.57x	1.33x
Profitability Ratio					
ROE	-7.41%	-4.99%	1.72%	1.74%	1.18%
ROCE	-12.07%	-8.25%	-2.28%	-0.66%	-1.09%
ROA	-7.06%	-4.50%	1.50%	1.48%	0.90%
Margin Ratio					
Gross Margin	87.49%	80.29%	76.21%	72.51%	44.51%
EBITDA Margin	-44.15%	-17.11%	0.35%	3.20%	2.22%
EBIT Margin	-47.73%	-23.28%	-3.99%	-1.06%	-0.72%
PBT Margin	-29.11%	-14.34%	2.40%	3.44%	1.13%
PAT Margin	-29.16%	-13.72%	2.90%	2.60%	0.67%

DuPont Analysis

Financial Ratio	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
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Return On Equity

Net Profit Margin	-29.16%	-13.72%	2.90%	2.60%	0.67%
Asset Turnover Ratio	0.24x	0.33x	0.52x	0.57x	1.33x
Equity Multiplier	1.05x	1.11x	1.14x	1.18x	1.31x
ROE	-7.41%	-4.99%	1.72%	1.74%	1.18%

Return On Asset

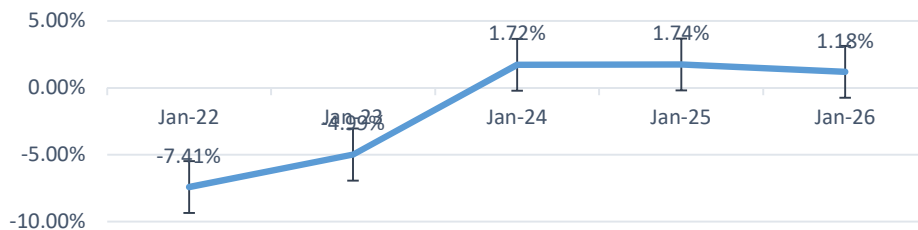
Net Profit Margin	-29.16%	-13.72%	2.90%	2.60%	0.67%
Asset TurnOver	0.24x	0.33x	0.52x	0.57x	1.33x
ROA	-7.06%	-4.50%	1.50%	1.48%	0.90%

Decomposing the ROE & ROA for Eternal LTD

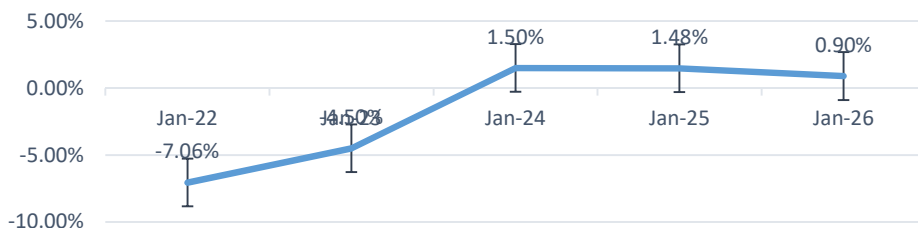
The company is utilizing its assets efficiently and has taken on some leverage—but margins dropped so significantly that ROE (Return on Equity) failed to improve.

ROA declined from 1.48% to 0.90% as net profit margin deterioration (-74%) significantly outweighed asset turnover improvement (+133%) — indicating company is efficiently utilizing assets to generate sales but unable to convert those sales into profits due to high cost structure in expansion phase.

ROE



ROA



Rating Rationale

Ratings are based on the difference between the Analyst's target price and the current market price. Recommendations are categorized as Buy, Hold, or Sell with an expected investment window of two years. All targets reflect an independent and objective valuation of the stock's fair value.

Tushar Hamirani